ECB takes a pause… until December

Stay cautious on duration; hold shorts in 3Mx(1Yx1Y) unhedged straddle

- **ECB kept policy rates unchanged at the meeting today; we expect them to hike 25bp each in December and March, with risks skewed to a further move**
- **Hold Mar27 Euribor call spread (1x2) and Jan27 Euribor put spread**
- **Intermediate German yields remain attractive for long-term investors who can tolerate near-term volatility. Maintain strategic OW Germany vs. US stance**
- **Stay cautious intra-EMU spreads**
- **Keep shorts in 3Mx(1Yx1Y) unhedged straddle to benefit from rangebound yields**

Rates Strategy

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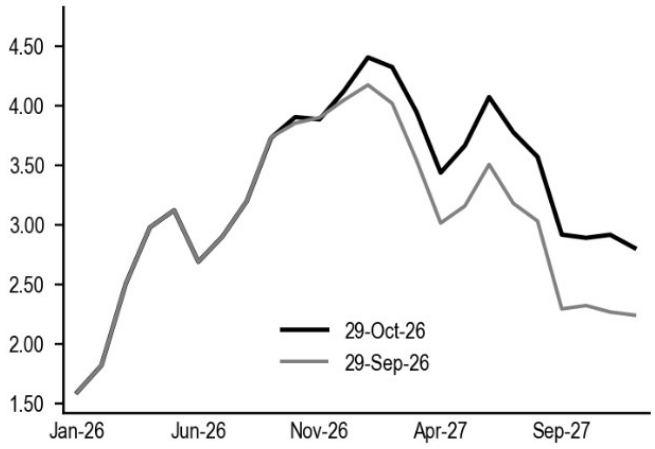
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J.P.Morgan

The ECB kept policy rates unchanged today but maintained a clear hiking bias, as widely expected. The meeting centred on the implications of rising energy prices and tighter financing conditions. The decision to pause was driven by stable underlying inflation and limited evidence of second-round effects so far, which allows the ECB to wait for more data before December. Nonetheless, the statement emphasised that the scale and persistence of the energy shock are still expected to push inflation higher going forward while lowering growth. This is consistent with the recent rise in HICPxT fixings for 2027 rather than 2026, which likely reflects expectations of delayed pass-through (**Figure 1**).

Figure 1: The ECB statement emphasised that the scale and persistence of the energy shock are still expected to push inflation higher going forward, in line with the recent rise in HICPxT fixings concentrated in 2027 rather than 2026

HICPxT market-implied fixings as of 29 Oct and 29 Sep 2026; %oya



Source: J.P. Morgan.

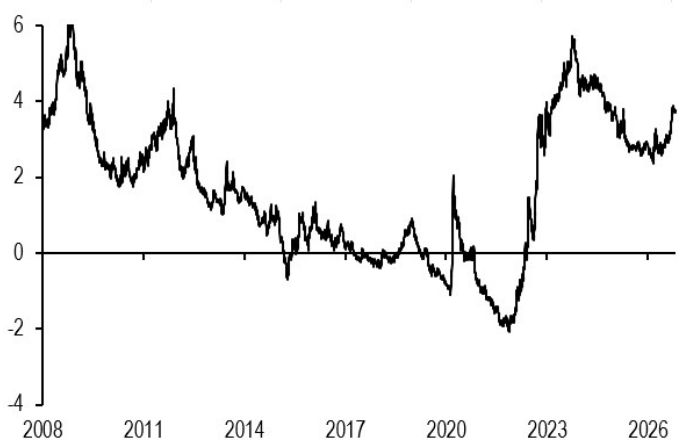
On financing conditions, it is notable that the ECB dovishly acknowledged (for the first time in the policy statement since March) that recent tighter conditions (**Figure 2**), driven mainly by higher yields and wider spreads (**Figure 3**), not only reduce some concerns on inflation, but also dampen growth. Regarding the recent spread moves, Lagarde only reiterated that the ECB is sensitive to disorderly market moves but placed the onus to adjust fiscal plans on higher-debt countries with no mention of TPI activation or other solutions on ECB side. Beyond monetary policy, and aside from policy discussions, the biggest news was that Lagarde will leave the ECB earlier than expected, following the February 2027 meeting.

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Figure 2: As evidenced by the Euro area Macro-Finance FCI indicator, financing conditions have recently risen, especially since September...

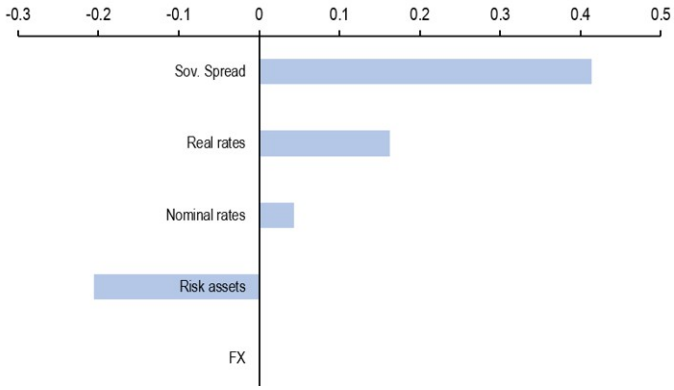
Macro-Finance FCI for the Euro Area; since 2008



Note: for further details on the index see *Looser, tighter, clearer: a new Financial Conditions Index for the euro area, Bletzinger et al., 2026.*
Source: J.P. Morgan.

Figure 3: ...mainly driven by higher yields and wider spreads

Decomposition of the change in the Euro area Macro-Finance FCI between 27 August 2026 and 27 October 2026 by driver;



Note: for further details on the index see *Looser, tighter, clearer: a new Financial Conditions Index for the euro area, Bletzinger et al., 2026.*
Source: J.P. Morgan.

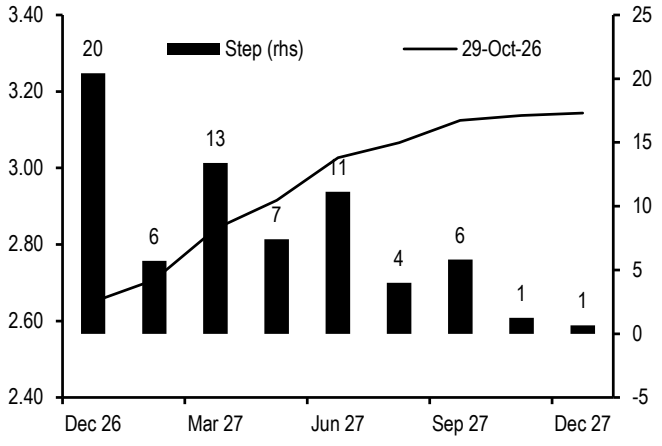
The ECB statement and the press-conference did not move €STR yields significantly in itself. €STR yields moved a few bps during the day but that was driven by global moves along with ECB sources suggesting that ECB to likely pause after a December hike (see here). Overall, €STR forward yields are few bps lower on the day with a modest steepening of the curve. The €STR curve is now pricing around 22bp, 43bp, and 60bp of cumulative hikes by Dec26, Mar27 and Jun27 with the peak pricing around 70bp of cumulative hikes (**Figure 4**). Interestingly, the peak pricing has remained broadly stable over the past four weeks even though Brent and TTF futures have increased sharply over this period (**Figure 5**). In our view, the broadly unchanged policy rate expectations reflect a combination of higher energy prices, which are largely offset by tighter Euro area financial conditions (see above) along with a lower peak for the SOFR money market curve – 1Yx1Y SOFR is around 15bp lower over the past two weeks; we highlight that €STR yields continue to exhibit a strong positive relationship to SOFR yields even though the beta has declined recently (**Figure 7**). Our baseline is for the ECB to raise rates by 25bp each in December and March. Nevertheless, we find cumulative hikes priced in by next year to be broadly fair as the market will continue to price in some premium in a hiking cycle. We do not have a strong directional bias on yields at the very front-end (sub 1Y sector) and continue to hold: *i)* Mar27 Euribor call spread (97/97.3125) (1x2) and *ii)* Jan27 Euribor put spread (96.875/96.75) versus Mar27 Euribor futures at 96.90.

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Figure 4: The €STR curve is now pricing around 22bp, 43bp, and 60bp of cumulative hikes by Dec26, Mar27 and Jun27, respectively

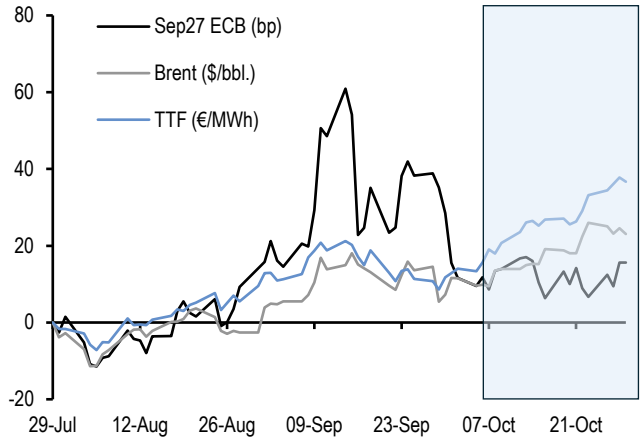
ECB meeting steps for the €STR curve (rhs, bp) and current €STR curve (lhs, %)



Source: J.P. Morgan.

Figure 5: The peak ECB pricing has been stable over the past few weeks even though energy prices have risen sharply. This broadly reflects offsetting dynamics from tighter financial conditions and lower SOFR money market yields

Cumulative change in hikes priced for Sep27 ECB (bp), Brent futures, ($/bbl) and TTF futures (€/kwh); past 3M;



Source: Bloomberg Finance L.P. and J.P. Morgan.

German curve bull steepened today mostly driven by a combination of modestly dovish ECB delivery and sharp US rally likely driven by weakness in equity markets.

On duration, we continue to view the market's neutral-rate (greens and blues) assumptions as mispriced, with money markets still implying an ECB neutral rate above 3.0%, a level that, in our view, looks overly optimistic and increasingly stretched. This remains a key pillar of our medium-term overweight duration view. The ECB delivery today, where they acknowledged that tightening of financing conditions via higher long-term interest rates and wider spreads, along with limited evidence of second round effects from higher energy prices so far was key factor behind their decision not to hike, is supportive of our constructive stance. **We therefore continue to stress that intermediate yields remain attractive for long-term investors who can tolerate near-term volatility**.

We also maintain a strategic OW Germany vs. US stance, especially in intermediate sectors. We hold the exposure via option structures and will be looking to re-enter in cash space on any further retracement.

On intra-EMU spreads, we maintain a cautious stance. Elevated core rates volatility, lingering investor caution around France, and ongoing geopolitical/ energy uncertainty keep us cautious on carry exposures—particularly against the backdrop of still-overweight positioning (**Figure 6**). President Lagarde reiterated that the ECB is sensitive to unwarranted and disorderly market moves, and that it has tools to respond, which is broadly in line with our expectations. As we have argued in recent publications, both the level of spreads and the pace of widening are key in determining the likelihood of any policy response. This week's sharp tightening in French spreads reversed part of last week's widening, easing near-term concerns around disruptive market dynamics and, in our view, largely consistent with the ECB's relatively non-committal "monitoring" message today.

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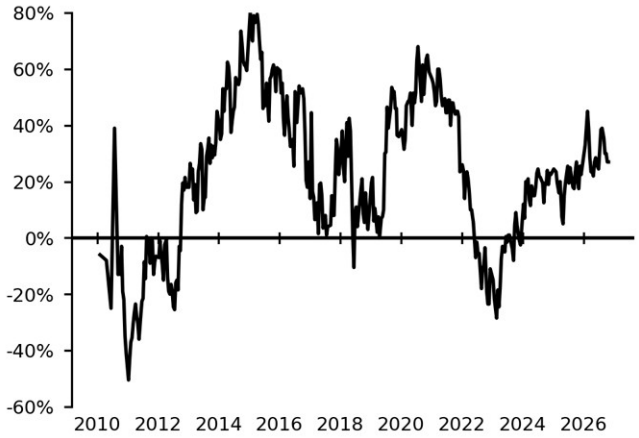
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Figure 6: European real money investors remain OW spreads overall, with positioning now closer to the average OW exposure seen over recent years

Net exposure of Euro area investors to intra-EMU spreads;



Source: J.P. Morgan European Client Survey, 29 October

On France, as we highlighted in *France: catalysts to watch for a reversal in spreads*, 22 October, a sustained reversal of the spread widening will likely require a combination of factors: clearer progress on fiscal policy and politics (e.g., smoother budget approval and reduced tail risks into the presidential election), a broader euro rates rally that improves "directionality" (widening alongside rallying risk-free rates is typically less concerning, and signs that tighter financing conditions are hitting activity/sentiment would be key), and/or more supportive ECB signaling or measures if the pace/level of widening becomes disruptive (likely starting with verbal intervention, with options such as adjusting QT or liquidity tools if pressures intensify). Beyond policy, a turn in investor behaviour is important—particularly a re-emergence of the domestic bid once price action stabilises—while more benign technicals (cleaner positioning and a shift in momentum/CTA signals) would help make any reversal more durable.

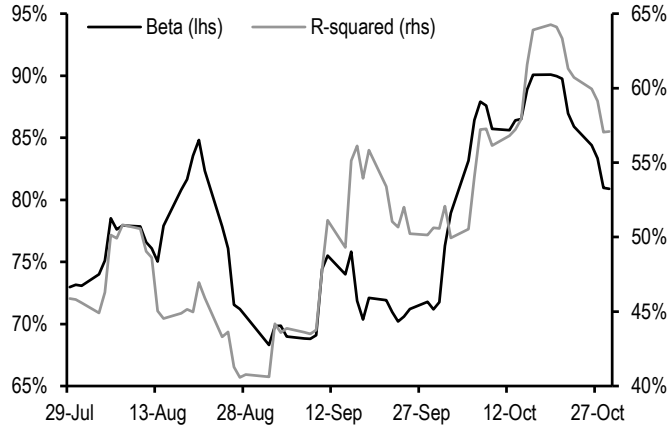
As discussed above, we expect 1Yx1Y €STR yield to also hover around current levels over the near term. We stay short 3Mx(1Yx1Y) unhedged straddle that we had recommended two weeks ago. Along with yields, implied volatility for 3Mx(1Yx1Y) midcurve options are also broadly unchanged over the past two weeks. In any case, implieds are still overall elevated which has resulted in wide breakevens for the trade at option expiry (**Figure 8**). As we discussed in our last publication (see here), it will require a wholesome change in ECB pricing expectations in either direction for 1Yx1Y yields to breach these breakeven levels; we ascribe very low probability to this outcome and stay short unhedged straddles.

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Figure 7: €STR yields have exhibited a strong positive relationship to SOFR yields over the past few months, although this relationship is starting to somewhat weaken

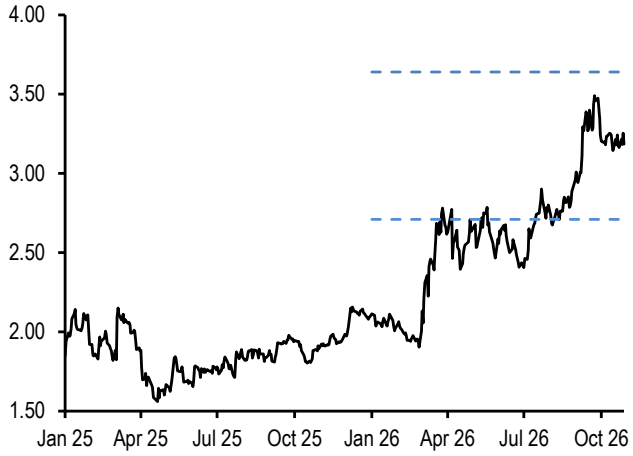
Rolling 3M beta (lhs) and R-squared (rhs) from regressing 1W change in 1Yx1Y €STR yield versus 1W change in 1Yx1Y SOFR yield; past 3M; %



Source: J.P. Morgan.

Figure 8: Stay short 3Mx(1Yx1Y) unhedged straddle as underlying yield is expected to stay well within breakeven ranges

1Yx1Y €STR yield and breakeven ranges at option expiry; since 1 Jan 2026; %



Source: J.P. Morgan.

Trade recommendations

- **Stay long Mar27 Euribor 1x2 call spread**
  Stay long 1000 Mar27 97 Euribor call versus selling 2000 97.3125 call with Mar27 Euribor futures at 96.86; P&L since inception (23 July 2026): -2.5 cents;
- **Stay long 96.875/96.75 Jan27 put spread on Mar27 Euribor futures**
  Stay long 1000 96.875/96.75 Jan27 put spread on Mar27 Euribor futures (Mar27 Euribor futures at 96.86); P&L since inception (2 October 2026): -2 cents;
- **Stay short 3Mx(1Yx1Y) unhedged straddle**
  Stay short €100mn 3.41% 3Mx(1Yx1Y) straddles (midcurve notification date 18 Jan 2027, midcurve start date 20 Jan 2028, maturity date 20 Jan 2029, Euribor 3M fixings curve) at 42.6bp versus entry level of 43bp of notional; P&L since inception (16 October 2026): +0.4bp of notional;

*P/L for open trades calculated using Wednesday's closes.

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